

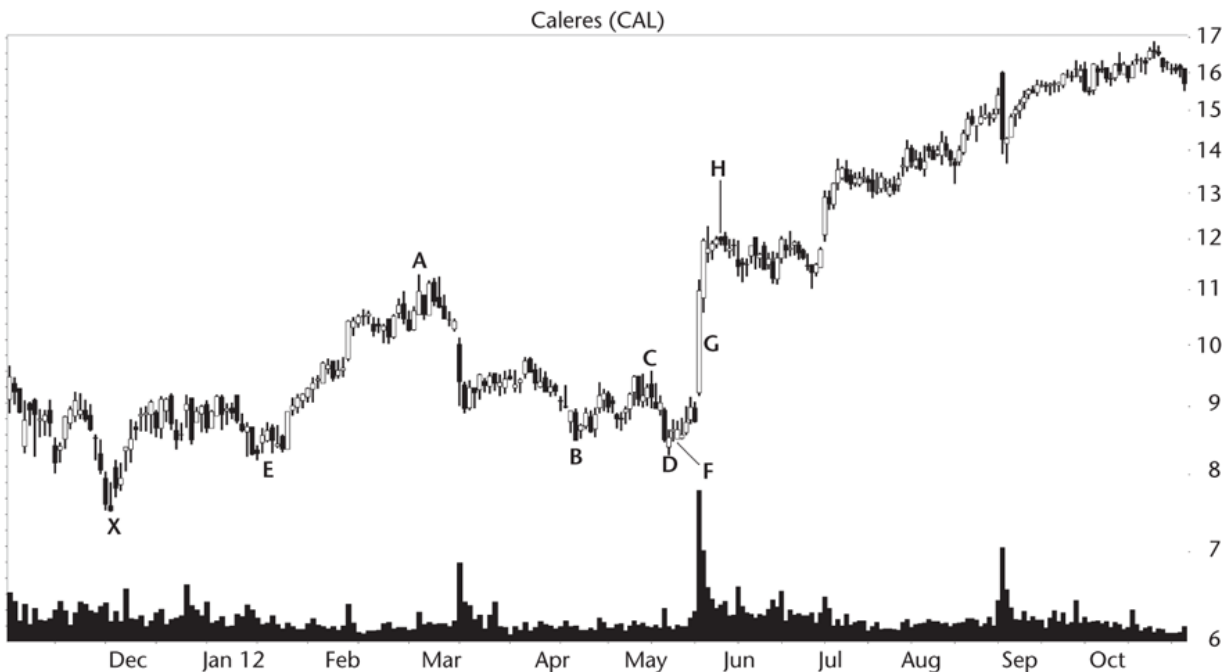


Figure 38.4 Jacob bought after this Gartley completed but sold quickly.

“Two days after the stock reached D [point F on the chart], I bought at the open at 8.51.”

He set a target for the top of the pattern, 10.53, which is a few pennies below the low price at A (not above the high at A, because he wanted to sell in the resistance area, not hope price would rise above a peak). Because this was a short-term swing trade, he placed a stop-loss order a few pennies below D, at 8.23, with his broker.

The stock worked its way higher for a week and then took off, making a large one-day price jump. The stock blew through his target, but, fortunately, he didn't place a *sell* order with his broker. “I like to pick my exits [which I think is less profitable for swing trades than picking a target ahead of time and selling automatically if it hits].”

When a stock makes a sharp move higher, as I mentioned, it often crests in a week to ten days. He counted down and one calendar week after the big move (G), “I sold the stock at the open (H) at 12.05 for a gain of 3.82 or 46% in about two weeks. Nice!”

For a swing trade, he did exceptionally well. He bought near the low and missed selling at the peak by a few days (too late). Obviously, for a longer-